

- Must have existing systems, processes, and infrastructure for recruitment, onboarding, training, and ongoing support to MSMEs in the construction sector.
- Must be able to collect and report meaningful operational trends of MSMEs to support informed decision-making and sector interventions.
- Proof of 20% match funding for the value applied for, or evidence of an existing lending book.



Stage 2: Pre-Screening

Submitted applications will be screened against the qualifying criteria and eligibility requirements. Applications that meet the pre-screening criteria will proceed to the next stage.

Stage 3: Due Diligence

During the due diligence stage, applications will be assessed based on financial capability, institutional capacity, systems and processes, developmental impact potential, and ability to support MSMEs in the construction sector.



APPLICATION PROCESS

Stage 1: Application

Applicants must submit a formal proposal in response to the Request for Information (RFI), including all required supporting documentation demonstrating eligibility, institutional capacity, and experience in financing construction MSMEs.



Get In Touch

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CONSTRUCTION FUND

Supporting Growth and Transformation in
the Construction Sector





OVERVIEW

The Construction Industry Development Board (CIDB) in collaboration with the Small Enterprise Development and Finance Agency (SEDFA), an agency of the Department of Small Business Development (DSBD), will launch the Construction Fund in XXX 2026.

The construction sector in South Africa plays a critical role in economic growth, infrastructure development, and job creation. However, many Micro, Small and Medium Enterprises (MSMEs) in the sector face significant funding and operational challenges that limit their ability to grow and participate fully in the industry.

The Construction Fund is established to provide developmental funding and support to MSMEs operating across the construction value chain, enabling them to expand their operations, create jobs, and contribute to the transformation of the sector.

SEDFA's mandate is to provide financial products and services to qualifying MSMEs, while CIDB is mandated to develop and regulate the construction industry to promote social and economic growth while maintaining competitive industry standards.

This collaboration represents a strong inter-governmental partnership aimed at strengthening MSMEs in the construction sector and ensuring their meaningful participation in South Africa's economic development.

OBJECTIVES

- Promote growth and transformation within the construction industry.
- Address funding gaps and financial constraints faced by MSMEs.
- Support previously disadvantaged enterprises to participate meaningfully in the sector.
- Stimulate job creation and job sustainability within the construction industry.
- Strengthen the capacity and competitiveness of MSMEs across the construction value chain.
- Contribute to inclusive economic development and infrastructure delivery.

FUNDING FOCUS AREAS

1. Roads & Civil Construction

Funding for enterprises involved in the development and maintenance of roads, bridges, water infrastructure, and other civil engineering projects.

2. Built Environment

Support for MSMEs participating in the construction of residential, commercial, and industrial buildings as well as related infrastructure development.

3. Material Manufacturing

Funding support for enterprises involved in the production and supply of construction materials essential for infrastructure and building projects.

4. Electrical Construction

Support for MSMEs involved in electrical installations, energy infrastructure, and related electrical construction services.

ELIGIBILITY CRITERIA

- The proposals must meet the following criteria for RFIs:
- The applicant must be a juristic person legally constituted with a fixed physical address, as defined in the Companies Act.
- Preference will be given to RFIs with $\geq 51\%$ black ownership.
- The project must demonstrate the ability to generate developmental impact as outlined in the SEDFA Corporate Plan, including job maintenance and/or job creation and economic empowerment.
- Financed operations must be conducted within the borders of South Africa.
- The applicant must be a non-banking financial institution (intermediary) and demonstrate the capability and capacity to provide credit lending instruments to SMMEs.
- The applicant must be registered as a credit provider with the National Credit Regulator (NCR).
- Demonstrated track record in financing construction MSMEs and related projects or a proven construction order book.
- Demonstrated track record in assisting MSMEs in negotiating discounts with material suppliers.
- Preference will be given to RFIs within the construction sector value chain.
- Ensure that MSMEs to be funded are compliant with all applicable laws governing the construction sector.
- All funded MSMEs must employ South African citizens only.
- Ensure that MSMEs to be funded are registered with the Construction Industry Development Board (CIDB).